PIRANHA PROFITS

LESSON 4

Strategic Risk and Money Management

BY: ALSON CHEW

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BID-ASK & BASIC TRADING ORDERS

BID and ASK

What is Ask Price or Offer Price?
The price at which the market is willing to sell the particular asset.

What is Bid Price?
The price at which the market is willing to buy the particular asset.

What is BID/ASK Spread?
The difference between the current BID and ASK Price.

Joint Bid
To queue at the desired Bid Price without it begin triggered by the market immediately.

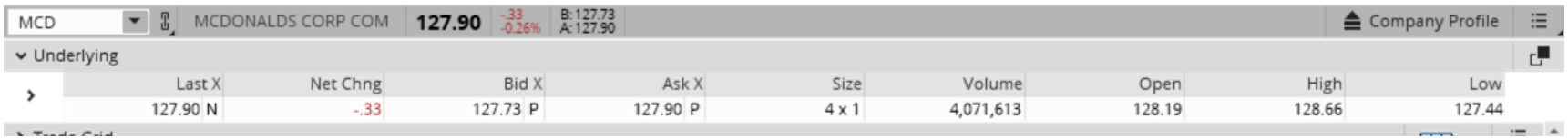
Joint Ask/Offer
To queue at the desired Ask/Offer Price without it begin triggered by the market immediately.

HIGHEST price to buy in the market

BID | ASK

127.73 127.90

LOWEST price to sell in the market



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BID-ASK & BASIC TRADING ORDERS

Basic Order Types

What is a Market Order?
An order to buy or sell stock or futures at the current market available price.

What is a Buy Limit Order?
When a trader input a buy limit order of say $50 into the trading platform, the trader is telling the platform that he only want to buy at $50 or lower. Hence the trading platform will never fill him any price higher than $50. And should there be a gap down to say $49, the platform will fill the trader at $49.

What is a Sell Limit Order?
When a trader input a sell limit order of say $50 into the trading platform, the trader is telling the platform that he only want to sell at $50 or higher. Hence the trading platform will never fill him any price lower than $50. And should there be a gap up to say $51, the platform will fill the trader at $51.

What is a Stop Order or Protection Order?
A pending order in the stock or future to determine fixed calculated risk per trade.

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STRATEGIC RISK AND MONEY MANAGEMENT

- ✔ Money management is about achieving a positive expectancy in trading over many trading set ups or outcomes. A **positive expectancy** is referred to as an **edge**.

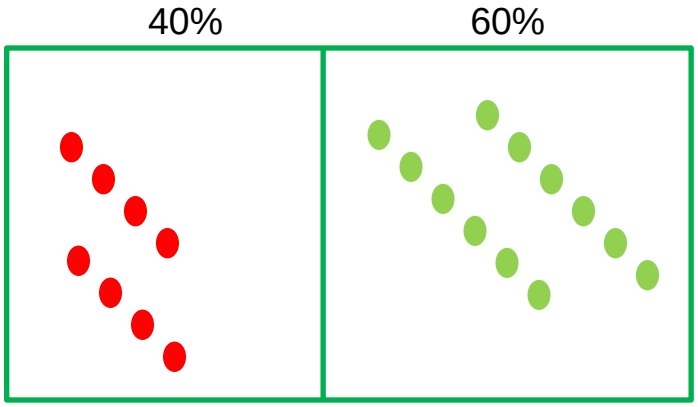
- ✔ Expectancy = (Probability of Win * Average Win) – (Probability of Loss * Average Loss)

Casino for example, has games with small positive expectancy in their favour. Some of this “edge” is small and in the **short term** the player may experience a winning streak. However, if the player continues playing in the long run, the casino edge will prevail and the player will eventually lose money.

- ✔ Professional traders must think of themselves as the casino with a trading edge in the long run and manage their psychology accordingly.

- ✔ Trading is a game of engaging in **high probability trade set up** to achieve **net positive returns/alpha** in the **long run**.

- ✔ Traders must consider that every trade set up as **independent** of the previous trade.



Win Rate Box

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STRATEGIC RISK AND MONEY MANAGEMENT

PORTFOLIO RISK MANAGEMENT GUIDELINES

- ✔ **NEVER** risk more than **2%** of your portfolio value in **any single trade**.

- ✔ Maximum exposure on all **open positions** at **maximum 6%** of portfolio value. (example 3 open trades)

- ✔ **Stop trading** for the period and review your trades after **5 consecutive drawdowns**.

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STRATEGIC RISK AND MONEY MANAGEMENT

Before we begin learning how to do sizing, please note that the **PAM risk management spread sheet** is only for sizing **stocks.**

PAM RISK MANAGEMENT SPREADSHEET

1. Stocks

Recap:
For stocks, trader may consider 1 year 2D or 4 years 1 week chart time frame for swing trading

Note: If 1 year 2D not available, use 1 year 1D time frame.

Learning objective:
In our examples, we will simulate entries and exits first to grasp the concept of sizing. How to enter and exit will be covered in the Sweet Spot Entries and Exits lesson. And subsequent lessons as we go into some of the strategies used in price action manipulation.

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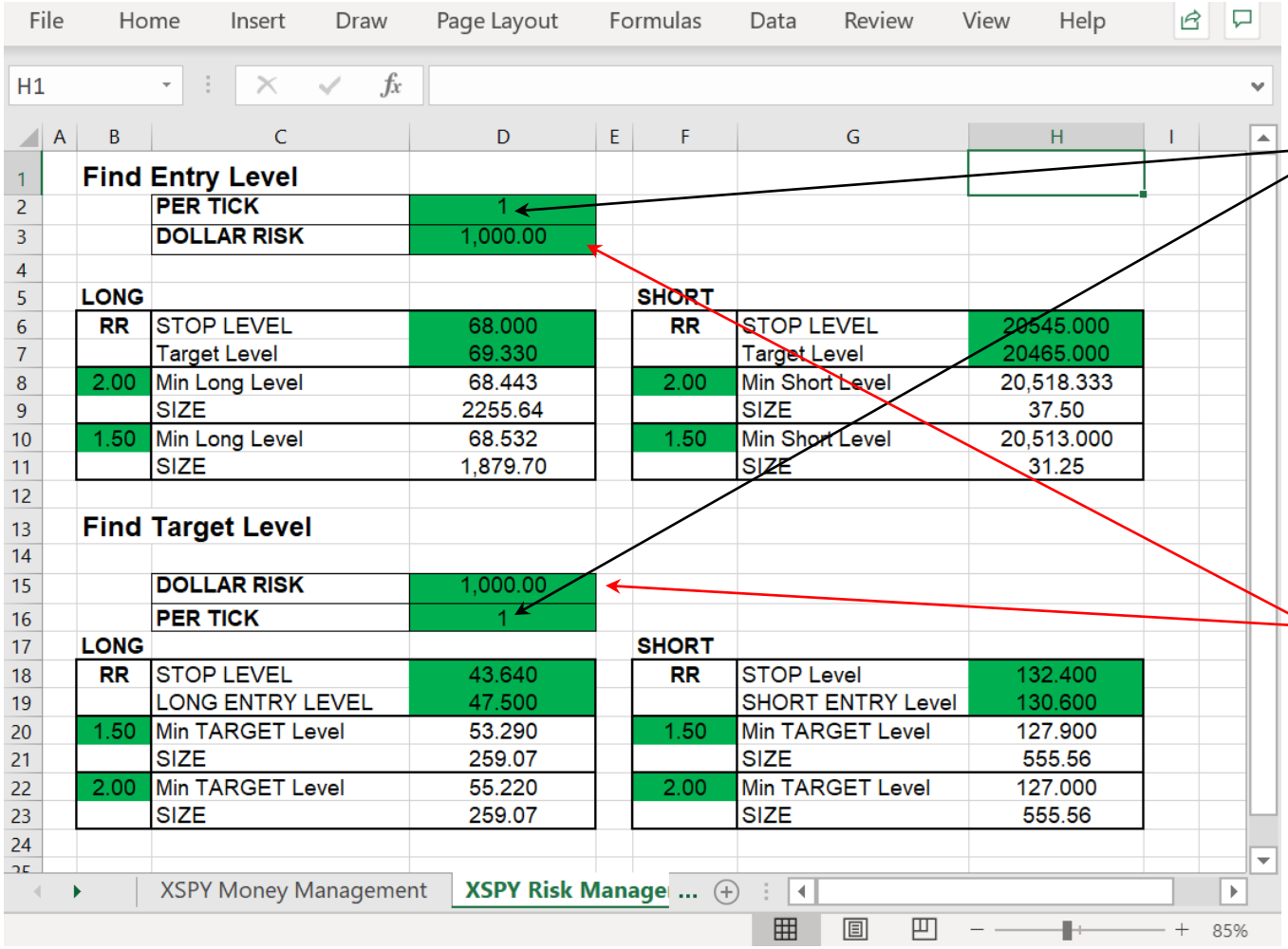
Stocks Sizing
Using PAM Risk Management Spread Sheet

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STRATEGIC RISK AND MONEY MANAGEMENT

PAM risk management spread sheet to calculate at a glance the number of shares required to approximate risk exposure limits.

Note: This risk management spread sheet is only for sizing stocks.



Find Entry Level							
	PER TICK	1					
	DOLLAR RISK	1,000.00					
LONG				**SHORT**			
RR	STOP LEVEL	68.000		**RR**	STOP LEVEL	20545.000	
	Target Level	69.330			Target Level	20465.000	
2.00	Min Long Level	68.443		2.00	Min Short Level	20,518.333	
	SIZE	2255.64			SIZE	37.50	
1.50	Min Long Level	68.532		1.50	Min Short Level	20,513.000	
	SIZE	1,879.70			SIZE	31.25	
Find Target Level							
	DOLLAR RISK	1,000.00					
	PER TICK	1					
LONG				**SHORT**			
RR	STOP LEVEL	43.640		**RR**	STOP Level	132.400	
	LONG ENTRY LEVEL	47.500			SHORT ENTRY Level	130.600	
1.50	Min TARGET Level	53.290		1.50	Min TARGET Level	127.900	
	SIZE	259.07			SIZE	555.56	
2.00	Min TARGET Level	55.220		2.00	Min TARGET Level	127.000	
	SIZE	259.07			SIZE	555.56	

Key in as 1 here in **PER TICK CELL**

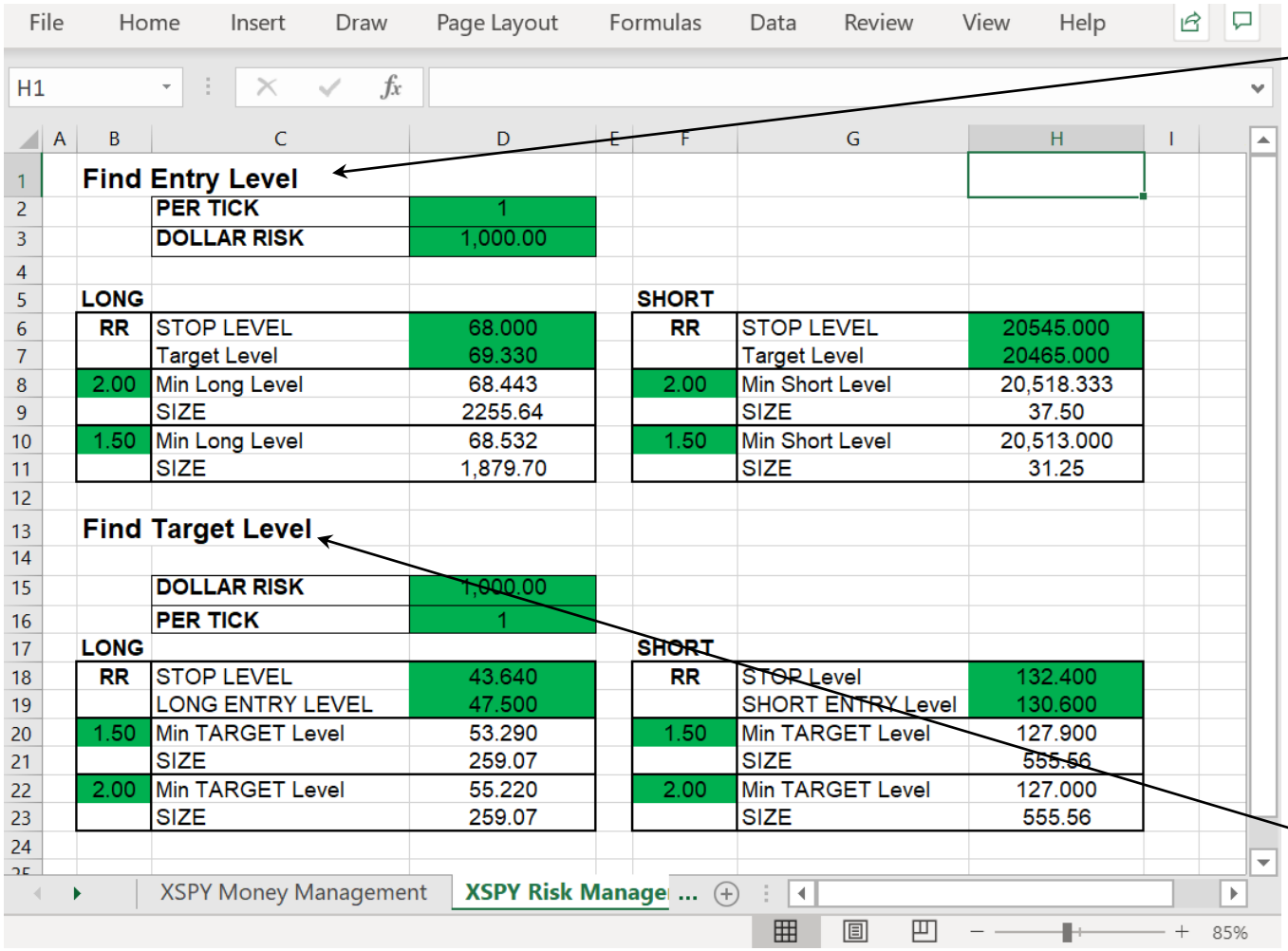
DOLLAR RISK is the amount you want to risk in this trade. Example, if you want to risk $1000 in this trade, key in as 1000 here.

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STRATEGIC RISK AND MONEY MANAGEMENT

PAM risk management spread sheet to calculate at a glance the number of shares required to approximate risk exposure limits.

Note: This risk management spread sheet is only for sizing stocks.



Find Entry Level

	PER TICK	1
	DOLLAR RISK	1,000.00

LONG			SHORT		
RR	STOP LEVEL	68.000	RR	STOP LEVEL	20545.000
	Target Level	69.330		Target Level	20465.000
2.00	Min Long Level	68.443	2.00	Min Short Level	20,518.333
	SIZE	2255.64		SIZE	37.50
1.50	Min Long Level	68.532	1.50	Min Short Level	20,513.000
	SIZE	1,879.70		SIZE	31.25

Find Target Level

	DOLLAR RISK	1,000.00
	PER TICK	1

LONG			SHORT		
RR	STOP LEVEL	43.640	RR	STOP Level	132.400
	LONG ENTRY LEVEL	47.500		SHORT ENTRY Level	130.600
1.50	Min TARGET Level	53.290	1.50	Min TARGET Level	127.900
	SIZE	259.07		SIZE	555.56
2.00	Min TARGET Level	55.220	2.00	Min TARGET Level	127.000
	SIZE	259.07		SIZE	555.56

Use Find Entry when you have a specific target price to exit the market (such as key LP levels or maximum exit Y point for UR1 and DR1) with SL in place.
Frequency of use: Low

Find **Min. Entry Level** to achieve the RR you required.
- ✔ Target Level
- ✔ Stop loss Level

Find **Min. Target Level** to achieve the RR you required.
- ✔ Entry Level
- ✔ Stop loss Level

Most of the time, you would have your entries within the sweet spot and SL placement to project your target exit with desired RR.
Frequency of use: High

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Live Long and Short Stock Sizing with OCO placement using Thinkorswim Example

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STRATEGIC RISK AND MONEY MANAGEMENT



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STRATEGIC RISK AND MONEY MANAGEMENT



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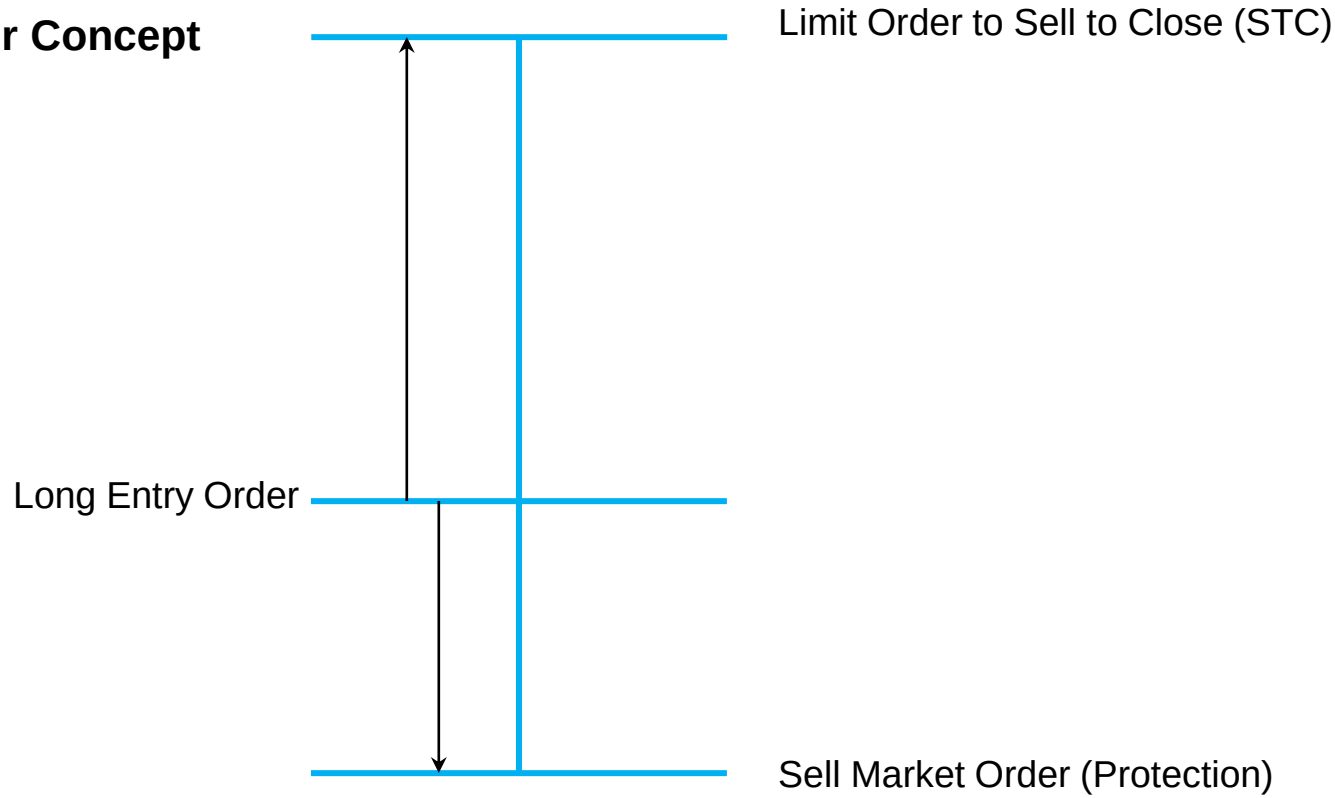
One-Cancel-Other (OCO) Order Placement

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STRATEGIC RISK AND MONEY MANAGEMENT

All Trades comes with 3 elements. We use the OCO (One-cancel-other) order with GTC (Good till cancel) to set and forget.

Long OCO Order Concept

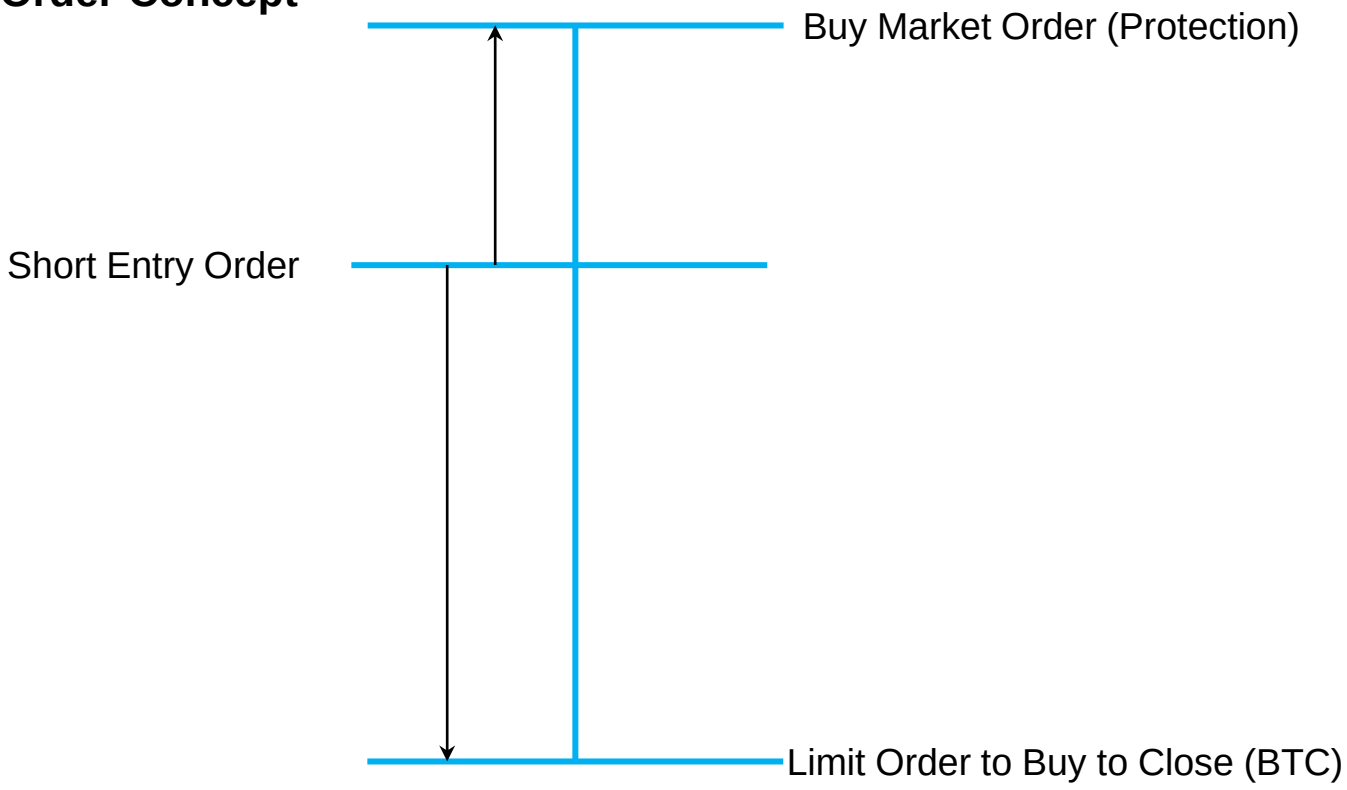


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STRATEGIC RISK AND MONEY MANAGEMENT

All Trades comes with 3 elements. We use the OCO (One-cancel-other) order with GTC (Good till cancel) to set and forget.

Short OCO Order Concept



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STRATEGIC RISK AND MONEY MANAGEMENT

Basic Order Types

✔ Buy Limit Order (Non-Guaranteed Fill)
A buy limit order is an order to buy (Long) a product at or below a specified price.

✔ Buy Market Order (Guaranteed Fill)
A buy market order is an order to buy (Long) a product at the best available price (immediate execution to get filled)

✔ Sell Limit Order (Non-Guaranteed Fill)
A sell limit order is an order to sell (Short) a product at or above a specified price.

✔ Sell Market Order (Guaranteed Fill)
A sell market order is an order to sell (Short) a product at the best available price (immediate execution to get filled)

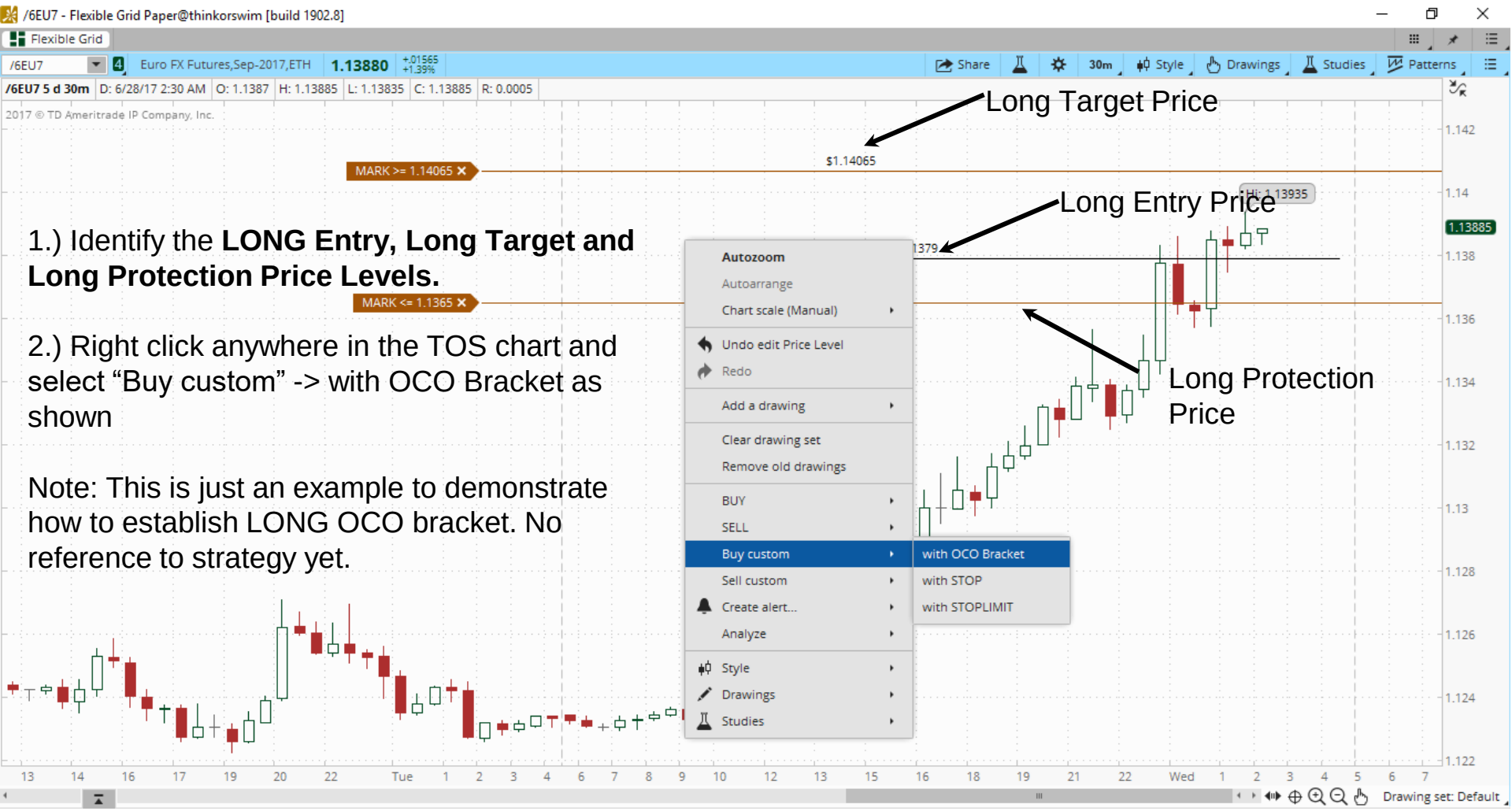
Advance Order Types

✔ **OCO (One Cancel Other) Order**
- Always match it with **GTC (Good till Cancelled) Order** to prevent order expiring beyond **GTD (Good till Day) Order.**

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STRATEGIC RISK AND MONEY MANAGEMENT

Example to establish Long Position OCO Bracket in TOS



1.) Identify the **LONG Entry, Long Target and Long Protection Price Levels.**

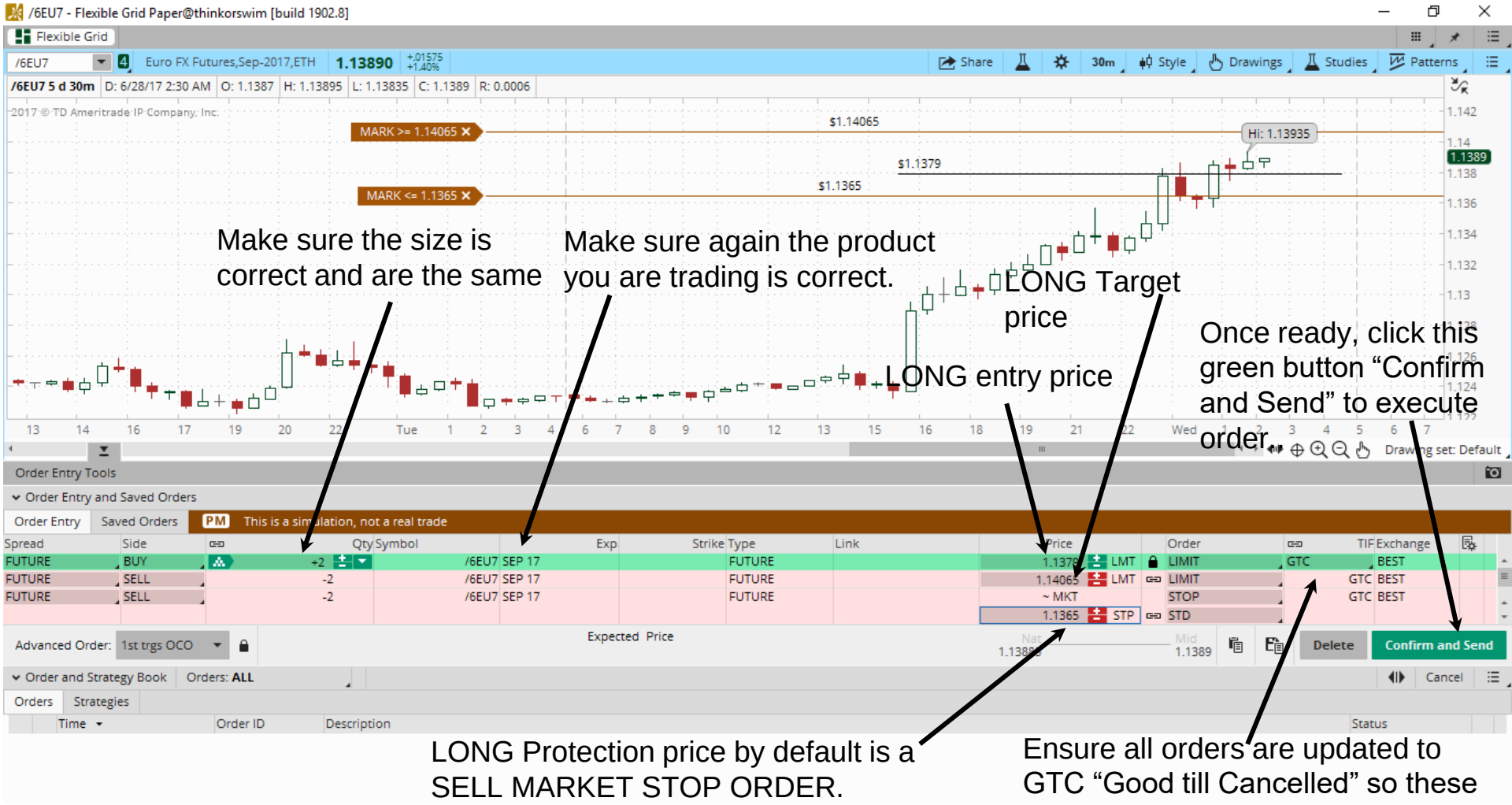
2.) Right click anywhere in the TOS chart and select “Buy custom” -> with OCO Bracket as shown

Note: This is just an example to demonstrate how to establish LONG OCO bracket. No reference to strategy yet.

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STRATEGIC RISK AND MONEY MANAGEMENT

Example for established Long Position OCO Bracket



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STRATEGIC RISK AND MONEY MANAGEMENT

Example for established Long Position OCO Bracket

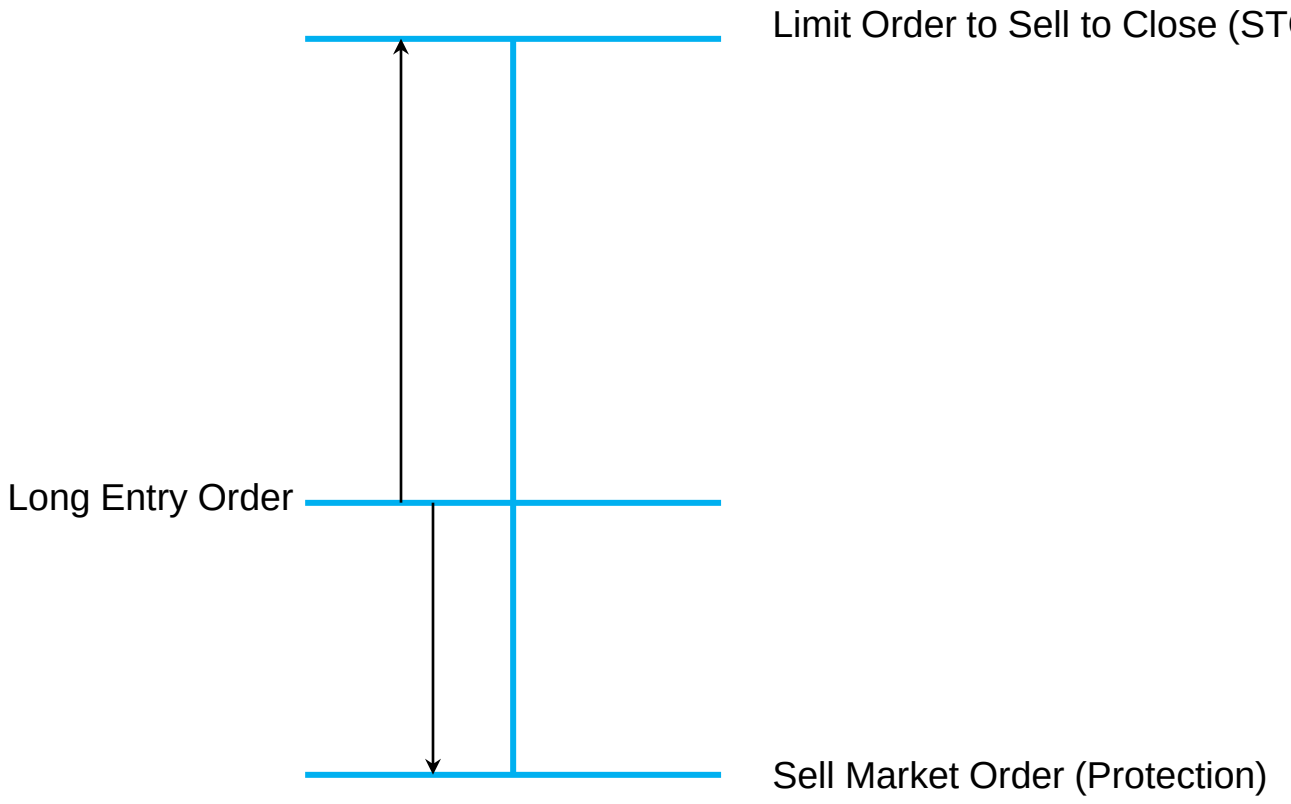


Only the Long Entry Order is working in the market. Once it is triggered, the Long Target Order and Long Protection Order will be activated into the market.

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OCO Rules – Long Position Established

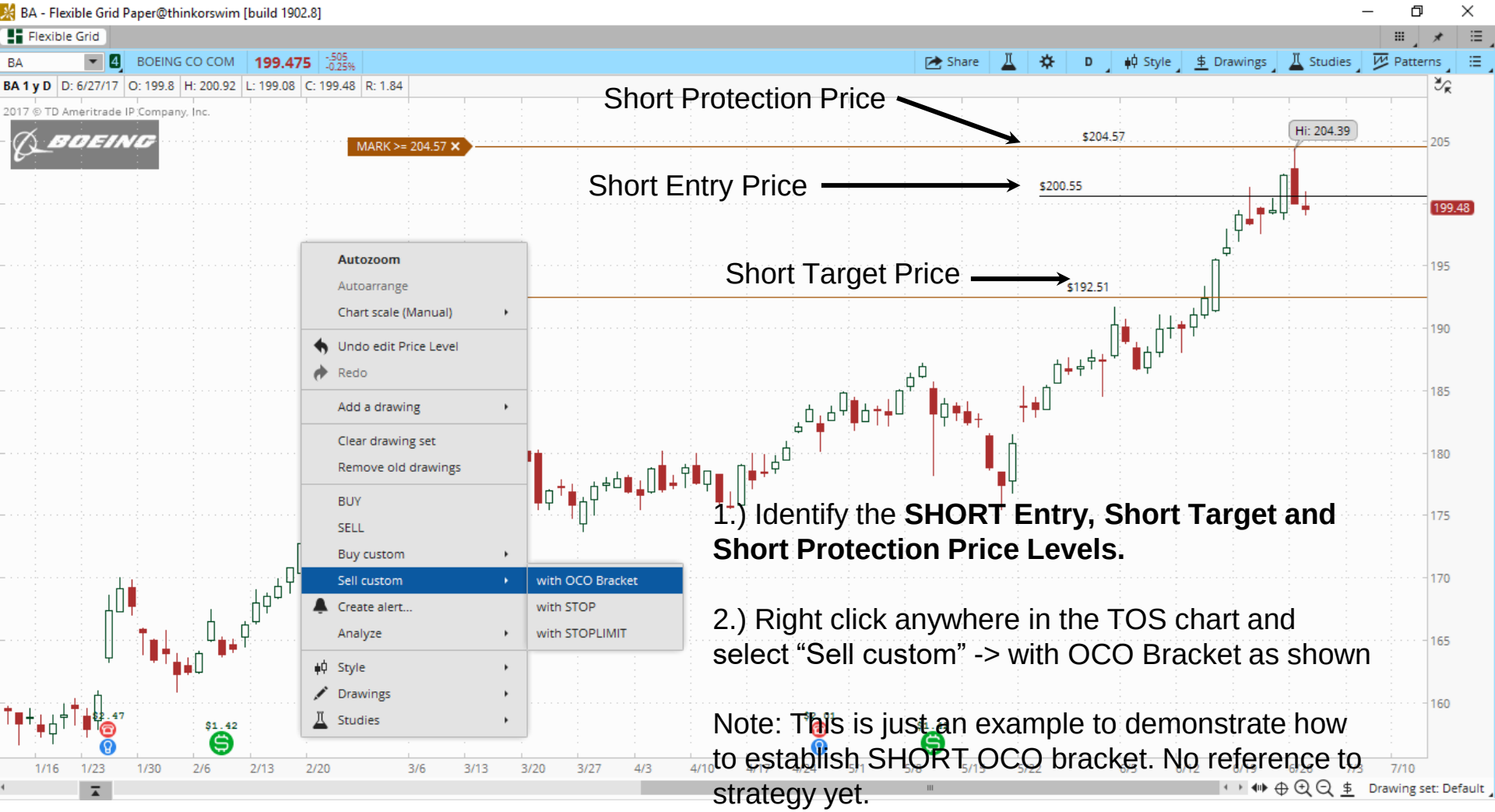
- ✔ Limit Order Price (**Target)** > Sell Market Order Price (**Protection**)
- ✔ Stop Order must **ALWAYS** be **Sell Market Type**
- ✔ Establish OCO Bracket Orders for Long Position
- ✔ If Limit Order Price (Target) is triggered, Sell Market Order (Protection) will be automatically removed and vice versa.



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STRATEGIC RISK AND MONEY MANAGEMENT

Example for established Short Position OCO Bracket



1.) Identify the **SHORT Entry, Short Target and Short Protection Price Levels.**

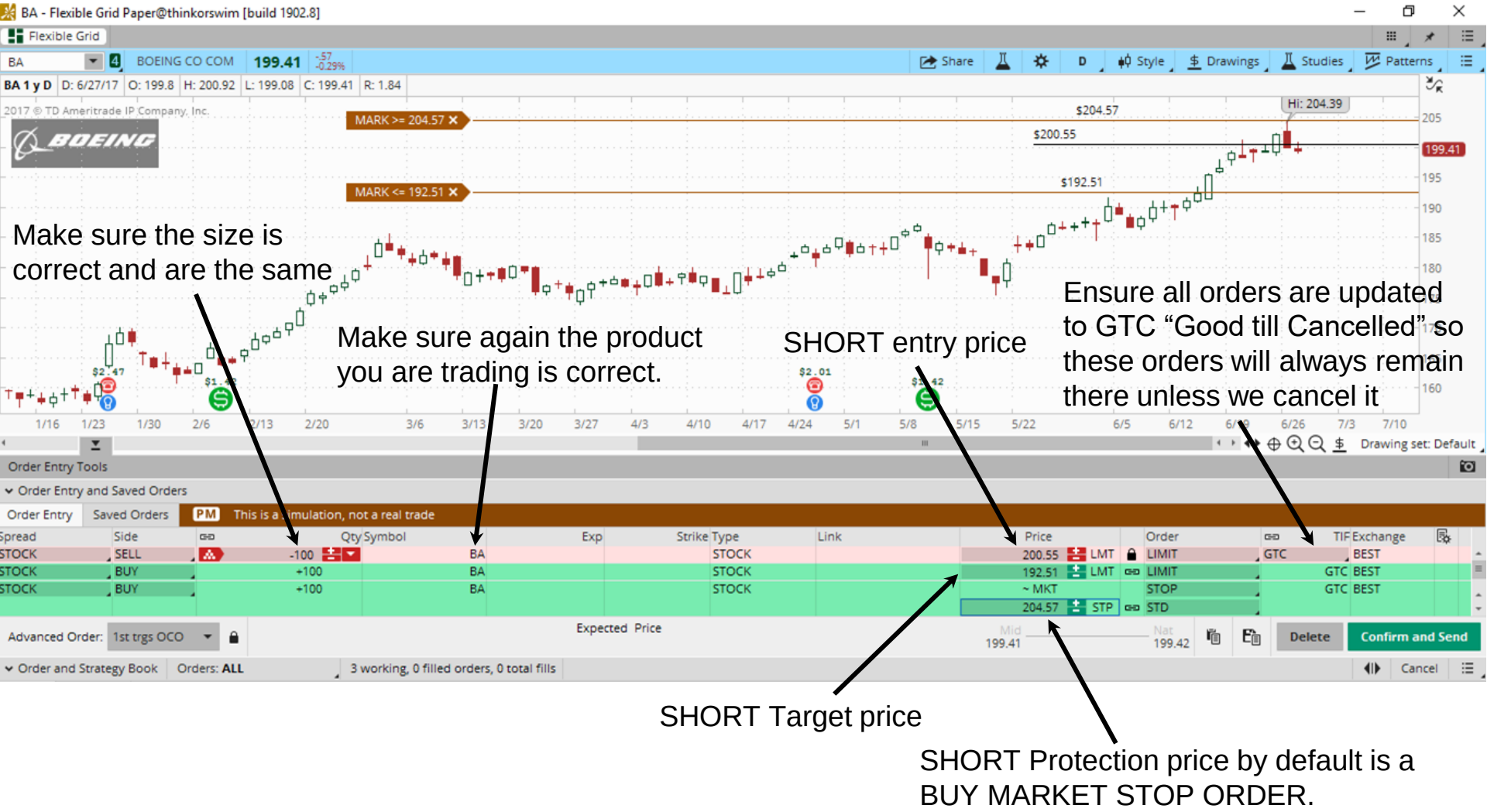
2.) Right click anywhere in the TOS chart and select “Sell custom” -> with OCO Bracket as shown

Note: This is just an example to demonstrate how to establish SHORT OCO bracket. No reference to strategy yet.

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STRATEGIC RISK AND MONEY MANAGEMENT

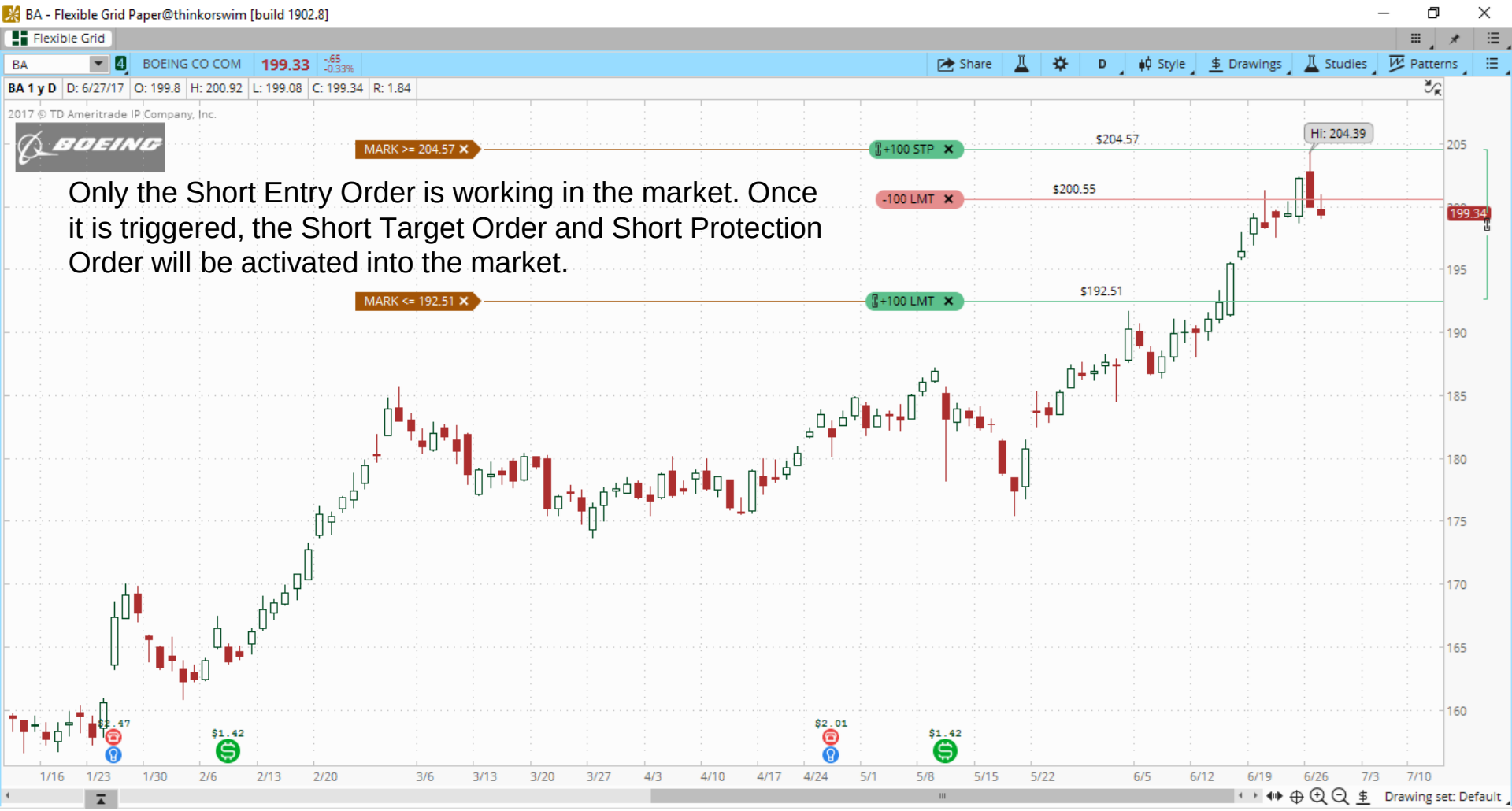
Example for established Short Position OCO Bracket



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STRATEGIC RISK AND MONEY MANAGEMENT

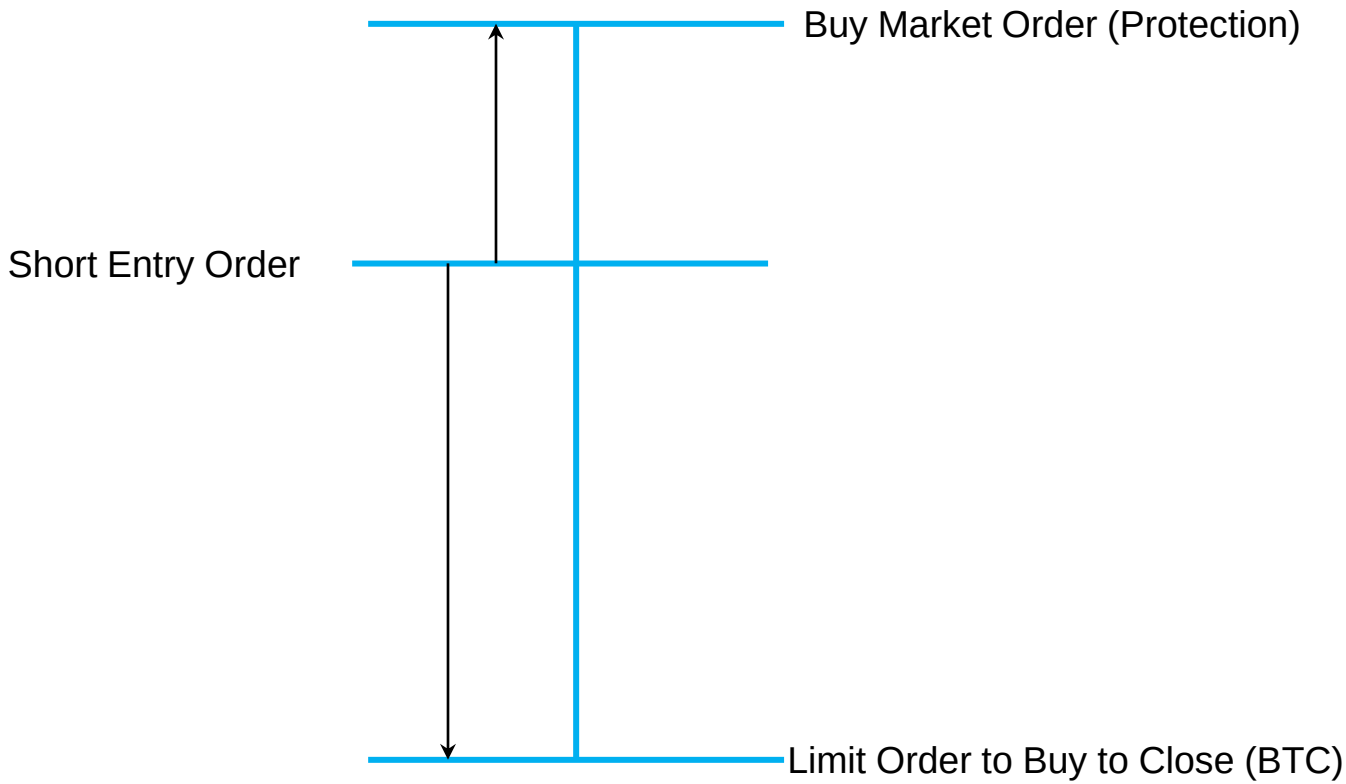
Example for established Short Position OCO Bracket



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OCO Rules – Short Position Established

- ✔ Limit Order Price (**Target)** < Buy Market Order Price (**Protection**)
- ✔ Stop Order must **ALWAYS** be **Buy Market Type**
- ✔ Establish OCO Bracket Orders for Short Position
- ✔ If Limit Order Price (Target) is triggered, Buy Market Order (Protection) will be automatically removed and vice versa.



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